

Solid 1H26 profit alert reaffirms upward trend

ASIC and switch markets are the key growth drivers

Action: Maintain Buy while raise TP to CNY159, implying 25.4% upside

Shengyi Electronics (SE) reported a positive profit alert on 13 July after market close. The company guided for CNY56.2bn-59.37bn of revenue (+49%-58% y-y) and CNY10.82bn-11.37bn of net profit (+104-114% y-y) in 1H26E owing to strong AI PCB demand, as well as new capacity contribution, according to the company. We think SE has started the shipment of its new AI PCB product for its key ASIC customer due to the new product ramp-up (i.e. Trainium 3), which should underpin continued ASP and margin uptick in 2H26F. Moreover, we think the company will benefit from the AI switch upgrade in both overseas and China markets. We raise FY26-28F revenue / earnings forecasts by 7-15% / 6.5%-11.1% (Fig. 1) to reflect the faster product ramp-up from key ASIC and switch customers. We maintain Buy rating and raise TP to CNY159, based on 35x (unchanged) FY27F EPS of CNY4.55, in line with the company's historical median P/E, and its FY26-28F earnings CAGR of 37%. The stock is currently trading at 27.9x FY27F EPS.

AI server and switch adoption will drive PCB content upgrade, leading to better demand visibility

We think the ASIC chip and AI switch demand would continue to accelerate in 2H26 and 2027 in both overseas and China markets due to the strong upsurge of token consumption from agentic workloads. We expect the company's server sector to remain the biggest revenue driver, contributing to 66% of total revenue in FY26F and 28% revenue CAGR from FY26-28F. Thanks to the large ASIC customer's product upgrade, the company's top growth accelerated in 2Q26, and we think it will continue due to the strong Trainium 3 lifecycle. Due to the upstream material price shortage, PCB companies are facing increased pressure than the upstream CCL / material companies, in our view, but the improving product mix will likely help them to mitigate the margin impact.

Customer concentration is a key risk, but diversification is underway

We believe the company has solid technology in HLC (high layer count) PCB and the telecom equipment / network switch markets, which may help it to diversify its customer portfolio. China's accelerated AI investment will likely help the company develop more domestic customers. We believe the revenue exposure to the key global ASIC customer would decline from 50% in 2025 to 42% in FY28F.

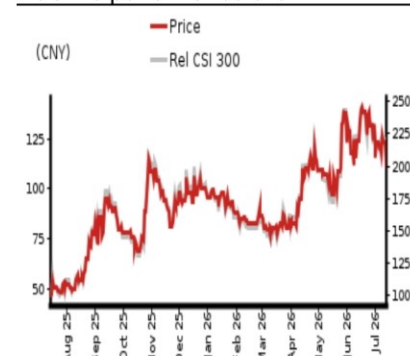
Year-end 31 Dec	FY25		FY26F		FY27F		FY28F
Currency (CNY)	Actual	Old	New	Old	New	Old	New
Revenue (mn)	9,494	13,629	14,590	18,212	20,557	22,548	25,926
Reported net profit (mn)	1,473	2,470	2,629	3,468	3,788	4,422	4,913
Normalised net profit (mn)	1,473	2,470	2,629	3,468	3,788	4,422	4,913
FD normalised EPS	1.77	2.97	3.16	4.17	4.55	5.32	5.91
FD norm. EPS growth (%)	343.8	67.6	78.5	40.4	44.1	27.5	29.7
FD normalised P/E (x)	71.6	–	40.1	–	27.8	–	21.5
EV/EBITDA (x)	49.4	–	28.9	–	20.3	–	15.5
Price/book (x)	18.4	–	12.6	–	8.7	–	6.2
Dividend yield (%)	0.0	–	0.0	–	0.0	–	0.0
ROE (%)	29.4	35.4	37.3	35.0	37.0	32.0	33.8
Net debt/equity (%)	24.7	10.1	10.9	net cash	net cash	net cash	net cash

Source: Company data, Nomura estimates

Rating Remains	Buy
Target price Increased from CNY 146.00	CNY 159.00
Closing price 14 July 2026	CNY 126.78
Implied upside	+25.4%

Market Cap (USD mn)	15,554.1
ADT (USD mn)	517.9

Relative performance chart



Source: LSEG, Nomura

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Key data on Shengyi Electronics

Performance

(%)	1M	3M	12M		
Absolute (CNY)	2.5	15.1	171.5	M cap (USDmn)	15,554.1
Absolute (USD)	2.3	15.7	187.1	Free float (%)	28.0
Rel to CSI 300	4.2	15.2	154.6	3-mth ADT (USDmn)	517.9

Income statement (CNYmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Revenue	4,687	9,494	14,590	20,557	25,926
Cost of goods sold	-3,621	-6,535	-9,676	-13,567	-16,969
Gross profit	1,065	2,959	4,914	6,990	8,957
SG&A	-685	-1,165	-1,791	-2,523	-3,182
Employee share expense					
Operating profit	380	1,793	3,123	4,467	5,774
EBITDA	712	2,163	3,678	5,106	6,485
Depreciation	-319	-358	-543	-626	-698
Amortisation	-13	-12	-12	-12	-12
EBIT	380	1,793	3,123	4,467	5,774
Net interest expense	-15	-58	-96	-146	-197
Associates & JCEs					
Other income	-14	-77	-67	-57	-47
Earnings before tax	351	1,658	2,959	4,264	5,530
Income tax	-19	-185	-330	-475	-617
Net profit after tax	332	1,473	2,629	3,788	4,913
Minority interests	0	0	0	0	0
Other items					
Preferred dividends					
Normalised NPAT	332	1,473	2,629	3,788	4,913
Extraordinary items					
Reported NPAT	332	1,473	2,629	3,788	4,913
Dividends	0	-20	-19	-35	-50
Transfer to reserves	332	1,453	2,610	3,754	4,863

Valuations and ratios

Reported P/E (x)	317.7	71.6	40.1	27.8	21.5
Normalised P/E (x)	317.7	71.6	40.1	27.8	21.5
FD normalised P/E (x)	317.7	71.6	40.1	27.8	21.5
Dividend yield (%)	—	0.0	0.0	0.0	0.0
Price/cashflow (x)	300.7	65.1	49.7	25.6	22.5
Price/book (x)	24.7	18.4	12.6	8.7	6.2
EV/EBITDA (x)	149.5	49.4	28.9	20.3	15.5
EV/EBIT (x)	279.9	59.6	34.1	23.2	17.4
Gross margin (%)	22.7	31.2	33.7	34.0	34.5
EBITDA margin (%)	15.2	22.8	25.2	24.8	25.0
EBIT margin (%)	8.1	18.9	21.4	21.7	22.3
Net margin (%)	7.1	15.5	18.0	18.4	19.0
Effective tax rate (%)	5.4	11.1	11.1	11.1	11.1
Dividend payout (%)	0.0	1.4	0.7	0.9	1.0
ROE (%)	8.3	29.4	37.3	37.0	33.8
ROA (pretax %)	6.5	20.2	25.7	29.2	32.0

Growth (%)

Revenue	-7.4	102.6	53.7	40.9	26.1
EBITDA	-51.6	204.0	70.0	38.8	27.0
Normalised EPS	-108.0	343.8	78.5	44.1	29.7
Normalised FDEPS	-108.0	343.8	78.5	44.1	29.7

Source: Company data, Nomura estimates

Cashflow statement (CNYmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
EBITDA	712	2,163	3,678	5,106	6,485
Change in working capital	-589	-244	-1,147	-395	-1,026
Other operating cashflow	228	-298	-410	-595	-777
Cashflow from operations	351	1,621	2,121	4,116	4,681
Capital expenditure	-425	-1,640	-1,590	-1,540	-1,490
Free cashflow	-74	-19	531	2,576	3,192
Reduction in investments	0	0			
Net acquisitions					
Dec in other LT assets	0	0			
Inc in other LT liabilities	0	0			
Adjustments	8	-24	0	0	0
CF after investing acts	-66	-43	531	2,576	3,192
Cash dividends	-44	-516	-19	-35	-50
Equity issue	0	35	0	0	0
Debt issue	262	873	306	0	0
Convertible debt issue					
Others	-171	-14	0	0	0
CF from financial acts	47	378	286	-35	-50
Net cashflow	-19	335	818	2,542	3,142
Beginning cash	429	410	744	1,562	4,104
Ending cash	410	744	1,562	4,104	7,245
Ending net debt	911	1,421	909	-1,632	-4,774

Balance sheet (CNYmn)

As at 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Cash & equivalents	410	744	1,562	4,104	7,245
Marketable securities					
Accounts receivable	1,755	2,843	4,224	5,734	6,824
Inventories	1,208	1,526	2,522	3,153	3,945
Other current assets	187	187	187	187	187
Total current assets	3,559	5,300	8,494	13,178	18,201
LT investments					
Fixed assets	3,763	5,351	6,314	7,144	7,852
Goodwill	175	174	162	150	137
Other intangible assets	188	412	412	412	412
Other LT assets					
Total assets	7,686	11,238	15,383	20,883	26,602
Short-term debt	1,100	2,006	2,311	2,311	2,311
Accounts payable	1,913	3,086	4,315	6,062	6,918
Other current liabilities	17	6	6	6	6
Total current liabilities	3,030	5,098	6,632	8,379	9,235
Long-term debt	221	160	160	160	160
Convertible debt					
Other LT liabilities	162	235	235	235	235
Total liabilities	3,412	5,493	7,028	8,774	9,630
Minority interest	0	0	0	0	0
Preferred stock					
Common stock	832	832	832	832	832
Retained earnings	3,441	4,914	7,523	11,277	16,140
Proposed dividends					
Other equity and reserves					
Total shareholders' equity	4,273	5,746	8,355	12,109	16,972
Total equity & liabilities	7,686	11,238	15,383	20,883	26,602

Liquidity (x)

Current ratio	1.17	1.04	1.28	1.57	1.97
Interest cover	25.1	30.9	32.4	30.6	29.3

Leverage

Net debt/EBITDA (x)	1.28	0.66	0.25	net cash	net cash
Net debt/equity (%)	21.3	24.7	10.9	net cash	net cash

Per share

Reported EPS (CNY)	39.91c	1.77	3.16	4.55	5.91
Norm EPS (CNY)	39.91c	1.77	3.16	4.55	5.91
FD norm EPS (CNY)	39.91c	1.77	3.16	4.55	5.91
BVPS (CNY)	5.14	6.91	10.04	14.56	20.40
DPS (CNY)	0.00	0.02	0.02	0.04	0.06

Activity (days)

Days receivable	118.5	88.4	88.4	88.4	88.6
Days inventory	86.0	76.3	76.3	76.3	76.6
Days payable	164.6	139.6	139.6	139.6	140.0
Cash cycle	39.9	25.1	25.1	25.1	25.2

Source: Company data, Nomura estimates

Company profile

Shengyi Electronics is a global PCB manufacturer and is the subsidiary of Shengyi Technology. The company produces high-end multi-layer PCBs for sectors such as telecommunication, server, auto electronics.

Valuation Methodology

Our TP of CNY159.00 is based on 35x 2027F EPS of CNY4.55, in line with company's historical median P/E, and the FY26-28F earnings CAGR of 37%. The benchmark index is CSI 300.

Risks that may impede the achievement of the target price

Downside risks include: 1) lower-than-expected PCB demand in downstream sectors such as 5G, servers, auto electronics; 2) increasingly fierce market competition on high-end PCBs leading to margin pressure and 3) higher-than-expected raw material cost pressure.

ESG

Shengyi Electronics shares its social responsibility by offering electronic components for telecom infrastructures. While the production of PCB products may have impacts on the environment.

Earnings forecast revisions

We raise our FY26-28F revenue forecasts by 7.0-15.0% to reflect the technology upgrade from ASIC customers and capacity expansion. We slightly lower FY26-28F GPM by 0.1-0.8pp to reflect the cost pressure from upstream materials' price hike. As a result, our FY26-28F earnings forecast increase by 6.5-11.1%.

Fig. 1: Shengyi Electronics – earnings forecast revisions

(CNY mn)	2023	2024	2025	2026F	2027F	2028F	2026F	2027F	2028F	2026F	2027F	2028F
	A	A	A	(NOM)	(NOM)	(NOM)	(OLD)	(OLD)	(OLD)	% diff	% diff	% diff
Turnover	3,273	4,687	9,494	14,590	20,557	25,926	13,629	18,212	22,548	7.0%	12.9%	15.0%
% chg yoy	-7%	43%	103%	54%	41%	26%	44%	34%	24%			
COGS	(2,796)	(3,621)	(6,535)	(9,676)	(13,567)	(16,969)	(9,019)	(11,887)	(14,584)	7.3%	14.1%	16.4%
Gross Profit	477	1,065	2,959	4,914	6,990	8,957	4,610	6,325	7,964	6.6%	10.5%	12.5%
OPEX	(533)	(714)	(1,301)	(1,972)	(2,754)	(3,464)	(1,848)	(2,450)	(3,024)	6.7%	12.4%	14.6%
Operating Income	(56)	351	1,657	2,942	4,236	5,493	2,762	3,876	4,940	6.5%	9.3%	11.2%
% chg yoy	-118%	-723%	372%	78%	44%	30%	67%	40%	27%			
Finance Expense	(31)	(15)	(58)	(96)	(146)	(197)	(90)	(130)	(172)			
Other gains/expense	30	15	59	114	173	235	107	157	209			
Pretax income	(57)	351	1,658	2,959	4,264	5,530	2,780	3,903	4,977	6.5%	9.2%	11.1%
% chg yoy	-118%	-717%	373%	78%	44%	30%	68%	40%	28%			
Tax	32	(19)	(185)	(330)	(475)	(617)	(310)	(435)	(555)			
Profit to shareholders	(25)	332	1,473	2,629	3,788	4,913	2,470	3,468	4,422	6.5%	9.2%	11.1%
% chg yoy	-108%	-1428%	344%	78%	44%	30%	68%	40%	28%			
Ratio Analysis												
GPM	14.6%	22.7%	31.2%	33.7%	34.0%	34.5%	33.8%	34.7%	35.3%	-0.1pp	-0.7pp	-0.8pp
OPEX	16.3%	15.2%	13.7%	13.5%	13.4%	13.4%	13.6%	13.5%	13.4%	0.0pp	-0.1pp	0.0pp
OPM	-1.7%	7.5%	17.5%	20.2%	20.6%	21.2%	20.3%	21.3%	21.9%	-0.1pp	-0.7pp	-0.7pp
NPM	-0.8%	7.1%	15.5%	18.0%	18.4%	19.0%	18.1%	19.0%	19.6%	-0.1pp	-0.6pp	-0.7pp

Source: Company data, Nomura estimates

Fig. 2: Shengyi Electronics - quarterly earnings forecast

(CNY mn)	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26F	3Q26F	4Q26F
	A	A	A	A	A	(NOM)	(NOM)	(NOM)
Turnover	1,579	2,189	3,060	2,665	2,411	3,375	4,218	4,586
% chg yoy	79%	101%	154%	77%	53%	54%	38%	72%
COGS	(1,108)	(1,515)	(2,022)	(1,890)	(1,562)	(2,204)	(2,777)	(3,133)
Gross Profit	471	674	1,038	775	849	1,170	1,442	1,453
OPEX	(247)	(307)	(370)	(377)	(338)	(463)	(557)	(613)
Operating Income	224	367	669	398	510	707	884	840
% chg yoy	878%	408%	606%	147%	128%	93%	32%	111%
Finance Expense	(5)	(11)	(19)	(24)	(24)	(22)	(22)	(28)
Other gains/expense	5	12	19	23	25	89	143	(142)
Pretax income	224	367	669	398	511	774	1,005	670
% chg yoy	869%	408%	607%	147%	128%	111%	50%	68%
Tax	(24)	(37)	(85)	(39)	(66)	(86)	(112)	(65)
Profit to shareholders	200	330	584	358	445	688	893	604
% chg yoy	657%	374%	546%	146%	122%	108%	53%	69%
Ratio Analysis								
GPM	29.8%	30.8%	33.9%	29.1%	35.2%	34.7%	34.2%	31.7%
OPEX	15.7%	14.0%	12.1%	14.1%	14.0%	13.7%	13.2%	13.4%
OPM	14.2%	16.7%	21.8%	14.9%	21.2%	21.0%	21.0%	18.3%
NPM	12.7%	15.1%	19.1%	13.5%	18.4%	20.4%	21.2%	13.2%

Source: Company data, Nomura estimates

Our FY26-28F revenue forecasts are 5-13% higher than WIND consensus, as we are more positive on AI PCB's increasing content value. Our FY26-27F earnings forecasts are 6-9% higher, while FY28F earnings forecasts is 6% lower, as we are more cautious on

cost control in the long term.

Fig. 3: Shengyi Electronics– Nomura vs consensus

CNY mn	2025	2026F			2027F			2028F		
		(NOM)	(CON)	diff	(NOM)	(CON)	diff	(NOM)	(CON)	diff
Revenue	9,494	14,590	13,629	7%	20,557	18,212	13%	25,926	24,732	5%
Pretax Profit	1,658	2,959	2,780	6%	4,264	3,903	9%	5,530	5,903	-6%
Net Profit	1,473	2,629	2,470	6%	3,788	3,468	9%	4,913	5,245	-6%
EPS	2	3.16	2.95	7%	4.55	4.14	10%	5.91	6.26	-6%

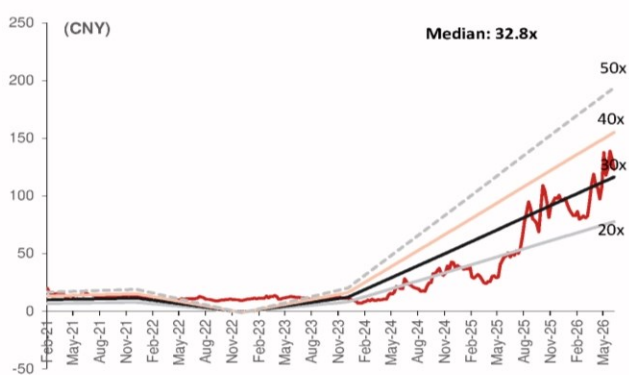
Source: Company data, WIND, Nomura estimates

Valuation and risks

Our new TP of CNY159 is based on 35x (unchanged) 2027F EPS of CNY4.55, in line with the company's historical median P/E, and a FY26-28F earnings CAGR of 33%.

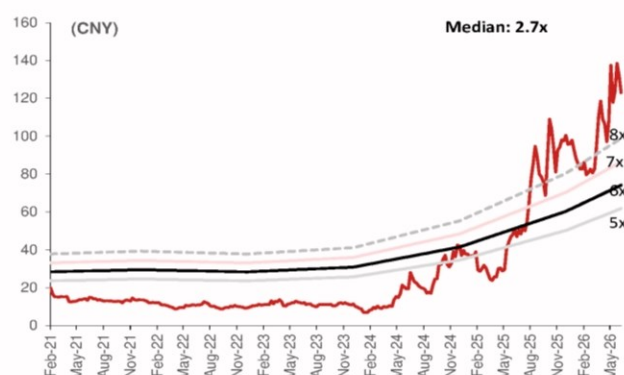
Downside risks include: (1) lower-than-expected PCB demand in downstream sectors such as 5G, servers, auto electronics; and (2) intensity of market competition higher than expected in the CCL market, leading to margin pressure.

Fig. 4: Shengyi Electronics – 12-month-forward P/E bands



Source: Company data, Nomura estimates

Fig. 5: Shengyi Electronics – 12-month-forward P/B bands



Source: Company data, Nomura estimates

Appendix A-1

This report has been produced by Nomura International (Hong Kong) Ltd. (NIHK), Hong Kong.

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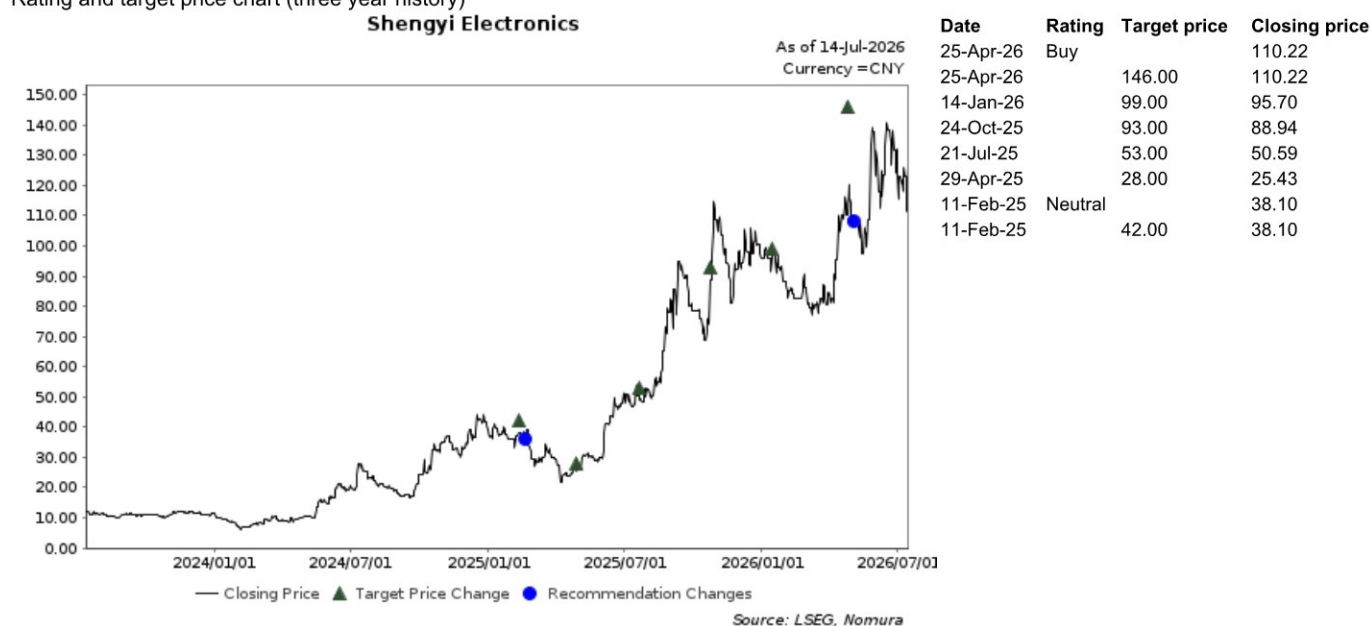
Materially mentioned issuers

Issuer	Ticker	Price	Price date	Stock rating	Sector rating	Disclosures
Shengyi Electronics	688183 CH	CNY 126.78	14-Jul-2026	Buy	N/A	

Shengyi Electronics (688183 CH)

CNY 126.78 (14-Jul-2026) Buy (Sector rating: N/A)

Rating and target price chart (three year history)



For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology Our TP of CNY159.00 is based on 35x 2027F EPS of CNY4.55, in line with company's historical median P/E, and the FY26-28F earnings CAGR of 37%. The benchmark index is CSI 300.

Risks that may impede the achievement of the target price Downside risks include: 1) lower-than-expected PCB demand in downstream sectors such as 5G, servers, auto electronics; 2) increasingly fierce market competition on high-end PCBs leading to margin pressure and 3) higher-than-expected raw material cost pressure.

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As at 30 June 2026.

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STOCKS

A rating of **'Buy'**, indicates that the analyst expects the stock to outperform the Benchmark over the next 12 months. A rating of **'Neutral'**, indicates that the analyst expects the stock to perform in line with the Benchmark over the next 12 months. A rating of **'Reduce'**, indicates that the analyst expects the stock to underperform the Benchmark over the next 12 months. A rating of **'Suspended'**, indicates that the rating, target price and estimates have been suspended temporarily to comply with applicable regulations and/or firm policies. Securities and/or companies that are labelled as **'Not rated'** or shown as **'No rating'** are not in regular research coverage. Investors should not expect continuing or additional information from Nomura relating to such securities and/or companies. Benchmarks are as follows: **United States/Europe/Asia ex-Japan**: please see valuation methodologies for explanations of relevant benchmarks for stocks, which can be accessed at: <http://go.nomuranow.com/research/m/Disclosures>; **Global Emerging Markets (ex-Asia)**: MSCI Emerging Markets ex-Asia, unless otherwise stated in the valuation methodology; **Japan**: Russell/Nomura Large Cap.

SECTORS

A **'Bullish'** stance, indicates that the analyst expects the sector to outperform the Benchmark during the next 12 months. A **'Neutral'** stance, indicates that the analyst expects the sector to perform in line with the Benchmark during the next 12 months. A **'Bearish'** stance, indicates that the analyst expects the sector to underperform the Benchmark during the next 12 months. Sectors that are labelled as **'Not rated'** or shown as **'N/A'** are not assigned ratings. Benchmarks are as follows: **United States**: S&P 500; **Europe**: Dow Jones STOXX 600; **Global Emerging Markets (ex-Asia)**: MSCI Emerging Markets ex-Asia. **Japan/Asia ex-Japan**: Sector ratings are not assigned.

Target Price

A Target Price, if discussed, indicates the analyst's forecast for the share price with a 12-month time horizon, reflecting in part the analyst's estimates for the company's earnings. The achievement of any target price may be impeded by general market and macroeconomic trends, and by other risks related to the company or the market, and may not occur if the company's earnings differ from estimates.

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